THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH, COURT-I, CHANDIGARH

CP (CAA) No. 20/Chd/Hry/2023
(2nd Motion)
Connected with
CA(CAA)/31/Chd/Hry/2022
(1st Motion)

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the National Company Law Tribunal Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

1. **Amon Estates Private Limited**
   (CIN: U70109HR2007PTC100728) (PAN: AAGCA3665C)
   Having its registered office at
   1st Floor, DLF Gateway Tower, R Block, DLF City, Phase - III,
   Gurugram-122002, Haryana.
   … Petitioner Company No. 1/ Transferor Company No. 1

And

2. **Calista Real Estates Private Limited**
   (CIN: U45201HR2006PTC100731) (PAN: AACCC8308C)
   Having its registered office at
   1st Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
   Gurugram-122002, Haryana.
   … Petitioner Company No. 2/ Transferor Company No. 2

And

3. **Chevalier Builders & Constructions Private Limited**
   (CIN: U45201HR2006PTC100538) (PAN: AACCC8737D)
   Having its registered office at
   1st Floor, DLF Gateway Tower, R Block, DLF City, Phase - III,
   Gurugram-122002, Haryana.
   …… Petitioner Company No. 3/ Transferor Company No. 3

And

4. Erasma Builders & Developers Private Limited
(CIN: U45201HR2006PTC100534) (PAN: AABCE7873P)
Having its registered office at
1st Floor, DLF Gateway Tower, R Block, DLF City, Phase - III,
Gurugram-122002, Haryana.

…… Petitioner Company No. 4/ Transferor Company No. 4

And

5. Hestia Realtors Private Limited
(CIN: U70102HR2007PTC100730) (PAN: AABCH8736J)
Having its registered office at
1st Floor, DLF Gateway Tower, R Block, DLF City, Phase - III,
Gurugram-122002, Haryana.

…… Petitioner Company No. 5/ Transferor Company No. 5

And

6. Laraine Builders & Constructions Private Limited
(CIN: U45201HR2006PTC100535) (PAN: AABCL2676D)
Having its registered office at
1st Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122002, Haryana.

…… Petitioner Company No. 6/ Transferor Company No. 6

And

7. Snigdha Builders & Constructions Private Limited
(CIN: U45201HR2006PTC100536) (PAN: AAJCS9518F)
Having its registered office at
1st Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122002, Haryana.

…… Petitioner Company No. 7/ Transferor Company No. 7

With

8. DLF Southern Towns Private Limited
(CIN: U45201HR2006PTC102641) (PAN: AADCP9107F)
Having its registered office at
1st Floor, DLF Gateway Tower, R Block, DLF City, Phase-III,
Gurugram-122002, Haryana.

…… Petitioner Company No. 8/ Transferee Company

Order delivered on: 17.01.2025

CORAM: HON'BLE SH. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE SH. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

Present:

For the Petitioner Companies	:	Mr. U.K. Chaudhary, Senior Advocate assisted by Mr. Abhinav Sood, Ms. Manisha Chaudhary, Mr. Mansuymer Singh, Mr. Pulkit Goyal, Ms. Manisha Sharma, and Ms. Anmol Gupta, Advocates
For the Regional Director/ Registrar of Companies	:	Mr. Vineet Khatri, Company Prosecutor
For the Official Liquidator	:	Mr. Edward Augustine, Advocate
For Income Tax Department	:	Mr. Yogesh Putney, Senior Standing Counsel

PER: SH. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
SH. UMESH KUMAR SHUKLA, MEMBER (TECHNICAL)

ORDER

This 2nd Motion Joint Company Petition (hereinafter referred to as the "**Petition**") has been filed under sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as "CAA Rules") jointly by Amon Estates Private Limited (hereinafter referred to as the "**Petitioner Company No.1**" or "**Transferor Company No.1**"), Calista Real Estates Private Limited (hereinafter referred to as the "**Petitioner Company No.2**" or "**Transferor Company No.2**"), Chevalier Builders & Constructions Private Limited (hereinafter referred to as the "**Petitioner Company No.3**" or "**Transferor Company No.3**"), Erasma Builders & Developers Private Limited (hereinafter referred to as the "**Petitioner Company No.4**" or "**Transferor Company No.4**)", Hestia Realtors Private Limited (hereinafter referred to as the "**Petitioner Company No.5**" or "**Transferor Company No.5**"), Laraine Builders & Constructions Private Limited (hereinafter referred to as the "**Petitioner Company No.6**" or "**Transferor Company No.6**"), Snigdha Builders & Constructions Private Limited (hereinafter referred to as the "**Petitioner Company No.7**" or "**Transferor Company No.7**" and DLF Southern Towns Private Limited

(hereinafter referred to as the "**Petitioner Company No.8**" or "**Transferee Company**") (hereinafter Petitioner Company Nos. 1 to 8 jointly referred to as the "**Petitioner Companies**") for sanction of the Scheme of Amalgamation of Petitioner Company Nos.1 to 7 with the Petitioner Company No.8 (hereinafter collectively referred to as the **"Scheme"**) as to be binding on all the shareholders and creditors of the Petitioner Companies with effect from the Appointed Date and Transferor Company Nos.1 to 7 shall stand dissolved without being would up. The copy of the Scheme has been annexed as Annexure A-1 of the Petition.

2. The 1st Motion Joint Company Application (hereinafter referred to as the "**Application**") bearing No. CA(CAA)31/Chd/Hry/2022 seeking directions for dispensing with/ convening the meetings of Equity Shareholders, Preference Shareholders, Debenture Holders, Secured Creditors and Unsecured Creditors of Petitioner Companies was filed before this Tribunal, which was disposed of vide this Tribunal Order dated 02.03.2023 with the directions to dispense with the meetings of Equity Shareholders and Secured Creditors of Petitioner Company Nos.1 to 8, Preference Shareholders & Debenture Holders of Petitioner Company No.8 and Unsecured Creditors of Petitioner Company Nos.1 to 7 for the reasons recorded in the Order and to convene the meetings of Unsecured Creditors of Petitioner Company No.8 on 22.04.2023 under the supervision of the Chairperson, Alternate Chairperson and Scrutinizer appointed to conduct the meeting. Vide above Order, it was also directed that the Petitioner Company No.8 shall (i) publish an advertisement in the newspapers namely "Financial Express" (English) and "Jansatta" (Hindi), both in Delhi NCR Edition and place the same on its websites, if any; (ii) send notices in Form No. CAA-3 to the statutory authorities and regulators.

3. In compliance of the above directions, the Petitioner Company No.8 filed Compliance Affidavit dated 10.04.2023 stating that the notice for the meeting was sent to all the Unsecured Creditors of Petitioner Company No.8 and statutory authorities/ regulators by speed post on 16.03.2023 and was published in the newspapers on 20.03.2023. Further, the Chairperson for the meeting submitted his report vide Diary No. 01197/3 dated 28.04.2023, stating that the resolution approving the scheme was approved unanimously.

4. In the 2nd Motion proceedings, this Tribunal, vide its Orders dated 19.05.2023, directed the Petitioner Companies to:

(i) Advertise notice of hearing in the newspapers namely “Financial Express” (English) and “Jansatta” (Hindi), both in Delhi NCR Edition.

(ii) Serve the notice of the Petition on the Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; Registrar of Companies, NCT of Delhi and Haryana, the Official Liquidator attached to Punjab and Haryana High Court; Jurisdictional Income Tax Authorities and Real Estate Regulatory Authority.

(iii) File an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) File an affidavit stating the objections, if any, received from public pursuant to publication of notice of hearing in the newspapers.

5. In compliance of the above directions, the Petitioner Company No.8 filed Compliance Affidavit dated 25.07.2023 vide Diary No. 01523/2 dated 28.07.2023, which was taken on record vide this Tribunal Order dated 20.10.2023. It has been

stated in the affidavit that the notice was sent to the statutory authorities/ regulators (Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi; Registrar of Companies, NCT of Delhi and Haryana, New Delhi, the Official Liquidator attached to Punjab and Haryana High Court at Chandigarh; Real Estate Regulatory Authority (RERA) and Jurisdictional Income Tax Authorities by speed post vide letter dated on 01.06.2023, which was delivered and was published in the newspapers on 17.07.2023. It has also been deposed in the aforesaid affidavit that neither the Petitioner Companies nor their Counsels have received any objection to the scheme from any stakeholders and general public at large till the date of filing the affidavit.

6. The Petitioner Companies, vide Diary No.03294 dated 10.10.2023, filed CA No.194/2023 under Rule 11 of the NCLT Rules, 2016 to place on record their response to the reports of the statutory authorities and also an affidavit that neither the Petitioner Companies nor their Counsels have received any objection to the Scheme from any stakeholders and general public at large till the date, which was taken on record vide this Tribunal Order dated 23.10.2023 and subsequently, this Tribunal, vide Order dated 05.04.2024, disposed of CA No.194/2023 and tagged the same with the main petition for reference purpose.

7. In response to the notices issued, the statutory authorities/ regulators have filed their reports, which have been discussed in the subsequent paragraphs.

Official Liquidator:

8. The Official Liquidator (hereinafter referred to as the "**OL**") filed his report vide Diary No. 01523/01 dated 27.07.2023, which was taken on record vide this Tribunal Order dated 20.10.2023.

(i) The OL in its report has reproduced the general information of the Petitioner Companies, their capital structure, financial highlights, shareholding, the extracts of Reports of the Statutory Auditors of the Petitioner Companies on the Financial Statements etc..

(ii) It is also stated in the report that as per the information provided by the Petitioner Companies, no pending cases are against them as on date; no investigation/ inspection/ inquiry is pending against them under the Companies Act, 2013 and/ or any other mater; no investigation/ inspection/ inquiry or including complaint of investor/ shareholder is pending with them and they have not received any deposits under Section 73 to 76 of the Companies Act, 2013.

(iii) The Petitioner Companies filed CA No.194/2023 for placing on record the additional affidavit dated 05.10.2023, in which it is also stated that no adverse observations have been inferred from the OL report and the OL has already given his 'No Objection' with respect to the approval of the present Scheme.

(iv) In the hearing dated 09.02.204, Ld. Counsel appearing for the OL submitted that the Transferor Company Nos. 1 and 6 have nil income and they do not have any other objection.

Regional Director/ Registrar of Companies:

9. The Regional Director (hereinafter referred to as the "**RD**") vide Diary No. 01523/3 dated 08.08.2023 filed its report enclosing therewith the Report dated 27.07.2023 of Registrar of Companies, NCT of Delhi & Haryana, New Delhi

(hereinafter referred to as the "**RoC**"), which was taken on record vide this Tribunal Order dated 20.10.2023.

(i) The RD in para 10 of its report has mentioned the observations of the RoC report dated 27.07.2023 and at para 11 has mentioned the reply of the Petitioner Companies, which has been summarised in the table below:

SN	RD/RoC Observations	Petitioner Companies Response
(i)	As per MCA General Circular no. 9/2019 dated 21.08.2019, if the Appointed Date is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest. In this case, the Appointed Date is 01.04.2021. However, the justification of the same being significantly ante-dated in terms of the above circular is not clearly brought out.	The Petitioner Companies filed the Scheme along with Application with this Tribunal on 02.06.2022 while the Appointed Date kept for the purpose of the Scheme is 01.04.2021. In view of this, the Appointed Date is not significantly ante-dated beyond a year, therefore, is in compliance with the MCA circular no. 09/2019 dated 21.08.2019. Moreover, the management of Transferor Companies and Transferee Company has decided to choose the 'Appointed Date' for the purpose of transfer of assets and liabilities based on the latest available audited financial statements, which were 31.03.2021 at that time. Further certain time was taken to decide the other terms and conditions of the Scheme and after finalisation of Scheme, the Board of Directors of the Transferor and Transferee Companies approved the Scheme on 27.05.2022 and filed the same with this Tribunal on 02.06.2022. The Transferor and Transferee Companies hereby confirm and assure that choosing the Appointed Date as 01.04.2021 is purely a commercial decision and the same is not against the public interest.
(ii)	As per audited financial statements of the Transferor Companies for the FY 2020-21, it is seen that the companies have nil revenue from its operation since last two years. Hence, these companies appear to be dormant u/s 455 of the Companies Act, 2013.	On perusal of the financial statements of Transferor Companies and Transferee Company, only the Transferor Company No.5 and 6 do not have any revenue, while the other Transferor Companies have revenue. Further, pursuant to the provisions of section 455 of the Companies Act, 2013, a company may apply for the status of Dormant Company and it is not obligatory on their part to apply for

SN	RD/RoC Observations	Petitioner Companies Response
		the status of dormant company under the said section. The said Transferor Companies were also planning to enter into a Scheme with the Transferee Company in the present Scheme and hence they did not apply for obtaining the status of dormant company. Further, all the Transferor and Transferee Companies have filed its Annual Returns and Financial Statement till the financial year ended on 31.03.2022 and there is no default in this regard.
(iii)	The Transferor Companies have shown expenses under the head "Business Support Expenses" in P&L account for the FY 2020-21 and 2021-22 of Rs.708,000/- and Rs.354,000/- respectively. However, the companies are not having any revenue from operations. Hence, the companies may be asked to clarify the same.	These are the expenses required to run the day-to-day affairs of these Companies from the funds available with the Company.
(iv)	It is mentioned in the scheme that the Transferor Companies are the wholly owned subsidiary of the "DLF Home Developers Limited". However, as per audited financial statements of the Transferor Companies for the FY 2020-21, it is seen that the entire share capital of the Transferor Companies are held by the "Felicitc Builders & Constructions Private Limited along with its nominee. So it is not clear, as how the Transferor Companies are the wholly owned subsidiary of the "DLF Home Developers Limited". Hence, the same may be clarified from the Transferor Companies.	The Transferor Companies have become wholly-owned subsidiaries of DLF Home Developers Limited w.e.f. 11.06.2021, while the financial statement for the financial year 2020-21 shows the status as on 31.03.2021. The copies of Form MGT-7 along with list of shareholders showing the details of transfer is annexed as Annexure 1.
(v)	As per audited financial statements of the Transferor Company No.02, 03 and 07 for the FY 2020-21, it is seen that the company has shown 'interest income on FD in its P&L account. However, in balance sheet as at 31.03.2021 and 31.03.2020, no FD account is referred to. So, it is not clear as how the company recognized the interest income on FD.	The Transferor Companies No. 2, 3 and 7 were holding Fixed Deposit in 2020-21, which were matured on 30.03.2021. The copies of the relevant ledgers are annexed as Annexure 2.

SN	RD/RoC Observations	Petitioner Companies Response
	Hence, the same may be clarified from the company.	
(vi)	With reference to Transferee Company, the auditor has stated in his report for the FY 2021-21 that the company has not paid certain statutory dues on account of dispute and case for the same is pending before their respective authority.	The matter is pending before the respective authority and the same will be dealt with in accordance with law. The Transferee Company shall continue to exist, and all legal proceedings may be continued/ dealt with by the Transferee Company accordingly.
(vii)	In respect of Transferee Company, complaints have been received from the home buyers, wherein the complainant has also referred to pendency of legal proceeding against the Transferee Company. (A copy of such one complaint is enclosed herewith.)	The Transferee Company shall continue to exist, and all legal proceedings may be continued/ dealt with by the Transferee Company accordingly.
(viii)	The Transferee company may be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital.	The Transferee Company undertakes to comply with the provisions of section 232(3)(1) of the Companies Act, 2013.

(ii) The Petitioner Companies filed CA No.194/2023 for placing on record the additional affidavit dated 05.10.2023, in which it is also stated that no adverse observations have been inferred from the RD report and the RD has already given his 'No Objection' with respect to the approval of the present Scheme.

(iii) In the hearing dated 22.12.2023, no one appeared on behalf of the RD/ROC and the Counsel for the Petitioner Companies was directed to inform the next date of hearing along with this order to RD/ROC through email and place that copy of email with affidavit on record, so that effective proceedings can take place on the next date of hearing. The Affidavit of Service was filed by the Petitioner Companies vide Diary No. 01523/5 dated 12.01.2024, which was taken on record vide this Tribunal Order dated 19.01.2024.

(iv) The Petitioner Companies, vide Diary No.00409 dated 01.02.2024, filed CA No.25/2024 under Rule 11 of the NCLT Rules, 2016 for placing on record affidavit dated 31.01.2024 with respect to the audited financial statements of the Petitioner Companies as on 31.03.2023 and unaudited provisional statement of profit & loss for the period ended 31.12.2023, which were taken on record and the CA No. 25/2024 was disposed of vide this Tribunal Order dated 09.02.2024 and tagged with the main petition for reference purpose. In the hearing dated 09.02.2024, Ld. Counsel appearing for the Petitioner Companies explained their stand vis-a-vis the observations made by the RD. However, the Ld. Company Prosecutor appearing on behalf of the RD sought time to examine and apprise this Tribunal, if they have any observation in the matter to the proposed Scheme.

(v) Subsequently, the Petitioner Companies vide Diary No. 0790 dated 04.03.2024 filed CA No. 62/2024 under Rule 11 of the NCLT Rules, 2016 to place on record point-wise reply with clarification as further submission with respect to the queries in the RD report, which have been summarised below:

SN	Query in the RD/RoC report	Petitioner Companies Response
(i).	As per MCA General Circular no. 9/2019 dated 21.08.2019, if the Appointed Date is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest. In this case, the Appointed Date is 01.04.2021. However, the justification of the same	The first motion application was filed before this Tribunal on 02.06.2022, while the Appointed Date kept for the purpose of the Scheme is 01.04.2021. The management of Petitioner Companies decided to choose the 'Appointed Date' for the purpose of transfer of assets and liabilities based on the latest available audited financial statements which were 31.03.2021 at that time. The audited financial statements of the Transferor Companies and the Transferee Company were considered and

SN	Query in the RD/RoC report	Petitioner Companies Response
	being significantly ante-dated in terms of the above circular is not clearly brought out.	approved by the respective shareholders in their Annual General Meeting held in the month of July and August, 2022 post filing of the Scheme. The Appointed Date i.e. 01.04.2021 may be considered and if not feasible the same may be changed from 01.04.2021 to 01.04.2023 or any other date may be given by this Tribunal, as deem fit.
(ii).	As per audited financial statements of the Transferor Companies for the FY.2020-21, it is seen that the companies have nil revenue from its operation since last two years. Hence, these companies appear to be dormant u/s 455 of the Companies Act, 2013.	Section 455 of the Companies Act, 2013 states that: *"Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company."* Only Transferor Company No. 5 and 6 were not having any revenue during the year 2020-21, while the other Transferor Companies have revenue/ other income. The Transferor Company Nos.5 and 6 are having certain land parcels. Further, all the Transferor Companies and the Transferee Company are direct/ indirect wholly owned subsidiaries of DLF Limited, the Holding Company, hence, for accounting transactions, these companies have been kept active and cannot be put into the category of dormant company at any time and have also been considered as going concern by the Auditors in their financial statements. These companies cannot be treated as inactive companies, since they have been filing their Annual Returns and Financial statements by filing Form MGT-7 and Form AOC-4 regularly (copies of MGT-7 Forms along with Challan for the last two years as well as Form AOC-4 annexed as Annexure A-1 Colly)..
(iii).	The Transferor Companies have shown expenses under the head	These are the general expenses required to run the day-to-day affairs of these Companies from the

SN	Query in the RD/RoC report	Petitioner Companies Response
	"Business Support Expenses" in P&L account for the FY 2020-21 and 2021-22 of Rs.708,000/- and Rs.354,000/- respectively. However, the companies are not having any revenue from operations. Hence, the companies may be asked to clarify the same.	funds available with the Companies like legal and professional expenses, business support expenses, rates and taxes, rent, payment to auditors, advertisement expenses and Director's sitting fees, etc.
(iv).	It is mentioned in the scheme that the Transferor Companies are the wholly owned subsidiary of the "DLF Home Developers Limited". However, as per audited financial statements of the Transferor Companies for the FY 2020-21, it is seen that the entire share capital of the Transferor Companies are held by the "Felicitc Builders & Constructions Private Limited along with its nominee. So it is not clear, as how the transferor companies are the wholly owned subsidiary of the "DLF Home Developers Limited". Hence, the same may be clarified from the Transferor Companies.	The Transferor Company Nos. 1 to 7 became the wholly-owned subsidiaries of DLF Home Developers Limited w.e.f. 11.06.2021, while the financial statement for the financial year 2020-21 shows the status as on 31.03.2021. The current financial statements of the Transferor Company Nos. 1 to 7 i.e. as at 31.03.2023 and 31.12.2023 have already been submitted before this Tribunal vide CA No. 25 of 2024, wherein details in this regard are mentioned. The relevant pages of the Balance Sheets as at 31.03.2023 are annexed as Annexure A-2 (Colly).
(v).	As per audited financial statements of the Transferor Company no.02, 03 and 07 for the F.Y 2020-21, it is seen that the company has shown 'interest income on FD in its P&L account. However, in balance sheet as at 31.03.2021 and 31.03.2020, no FD account is referred to. So, it is not clear as how the company recognized the interest income on FD. Hence, the same may be clarified from the company.	The Transferor Company Nos. 2, 3 and 7 (Calista, Chevalier and Snigdha respectively) were holding Fixed Deposit during the financial year 2020-21, which were matured on 30.03.2021. The FDs in the said Transferor Companies were created in the ICICI Bank having FD Nos. 017710038168 (Calista), 000713205802 (Chevalier) and 000713205803 (Snigdha). Since, these FDs in the said Transferor Companies were created on 12.02.2021, 23.04.2020 and 23.04.2020 respectively and all the above three FDs were matured on 30.03.2021, that is why the details of FD are not reflecting in the financial statements as at 31.03.2020 and 31.03.2021. Since the said FDs in these Companies were created and matured during the

SN	Query in the RD/RoC report	Petitioner Companies Response
		period from 01.04.2020 to 30.03.2021, only the interest amounts are reflecting in the financial statements. To justify the above facts, the relevant ledgers pertaining to creation of these FDs on 12.02.2021, 23.04.2020 and 23.04.2020 and statement of accounts as on 01.04.2021 mentioning the above FDs got matured on 30.03.2021 are annexed as Annexure A-3 (Colly).
(vi).	With reference to Transferee Company, the auditor has stated in his report for the F.Y 2021-21 that the company has not paid certain statutory dues on account of dispute and case for the same is pending before their respective authority.	Certain matters are pending before the respective authority(ies) and the same will be dealt with in accordance with law. It is pertinent to mention that since the Transferee Company shall continue to exist, and all legal proceedings would be continued/ dealt with by the Transferee Company accordingly in terms of this Scheme.
(vii)	In respect of Transferee Company, complaints have been received from the home buyers, wherein the complainant has also referred to pendency of legal proceeding against the Transferee Company. (A copy of such one complaint is enclosed herewith.)	The complaint made by Mrs. Jessy Varghese, the reference of which has been given in the reports of the ROC/RD, was at the time of shifting of registered office of the Transferee Company from the NCT of Delhi to the State of Haryana, wherein a notice in pursuance of Rule 30 of the Companies (Incorporation) Rules, 2014, as amended, regarding proposed shifting of the registered office of the Company was sent to all the creditors/ customers including Mrs. Jessy Varghese vide letter dated 25.10.2021 to seek their approval vis-a-vis any objection in the said matter. In the said letter, it was also intimated to her that an amount of Rs.52,83,674/- is showing outstanding against her in the books of account of the Company as on 30.09.2021. The reply of the said complaint had already been submitted/ sent by the Transferee Company to the Ministry of Corporate Affairs, Government of India, O/O Registrar of Companies, New Delhi vide email dated 09.12.2021 giving all the details in the matter. A copy of the reply is annexed as Annexure A-4. The above complaint is basically a customer related query, where the complainant being customer booked an apartment in the project,

SN	Query in the RD/RoC report	Petitioner Companies Response
		developed by the Transferee Company, under the name and style of "DLF New Town Heights" at Kakkanad, Kochi, Kerala. Upon receipt of the Occupation Certificate in 2015, the Transferee Company had offered to all the concerned allottees of the said Project, including the above complainant (allottee) requesting them to pay the balance amount and complete the documentation formalities. The copies of the final statement as on 07.10.2015 and letter dated 10.10.2015 sent to her are annexed as Annexure A-5. All the customers are treated creditors in the books of accounts till the time, the full and final payment is made by the customer (allottee) and possession is made to the Allottee. Keeping in view the above facts, the RD passed an Order dated 22.03.2022 to the Transferee Company allowing the shifting of its registered office from the NCT of Delhi to the State of Haryana. The copy of the said Order is annexed and marked as Annexure A-6. As on date, an amount of Rs.22,37,200.82 is still outstanding, which is to be paid by the said customer (allottre) to the Company and because of the above fact, the allotment has not yet been made to her. The copies of the relevant ledger (customer ledger) and statement showing the outstanding amount of Rs.22,37,200.82 as on date (27.02.2024) are annexed as Annexure A-7. The aforesaid complainant was one of unsecured creditors of the Transferee Company and in the meeting of the unsecured creditors held on 22.04.2023, resolution with respect to approval of this Scheme was unanimously approved by the unsecured creditors. The complaint is entirely of different nature and moreover does not affect for one reason or the other to the approval of the present Scheme in any respects by this Tribunal. Since the Transferee Company shall continue to

SN	Query in the RD/RoC report	Petitioner Companies Response
		exist, and all proceedings in all respects, which may arise pertaining to the Transferor Companies will be dealt with suitably by the Transferee Company. The necessary declaration in this regard has also been mentioned in the Scheme in Section II (Clause No. 20) under transfer and vesting of the Transferor Companies business into the Transferee Company and a separate affidavit has also been filed/ submitted by the Transferee Company vide Diary No. 03294 dated 10.10.2023.
(viii).	The Transferee company may be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital.	The Transferee Company hereby undertakes to comply with the provisions of section 232(3)(i) of the Companies Act, 2013. Upon sanction of the Scheme of Amalgamation, the Authorized Capital of the Transferor Companies will be merged with the Transferee Company. Though, the Companies involved in the Scheme have already paid requisite fee for the authorized capital existing in the Transferor Companies, however, the Transferee Company would pay requisite fee, if any, required to be paid on the increase of authorized capital post the Scheme coming into effect, in accordance with law.

(vi) In the hearing dated 05.04.2024, a date was requested by Company Prosecutor for the RD for examining CA No.62/2024 and it was directed that the reply of RD/RoC to CA No.62/2024 be filed within two weeks with a copy in advance to the Counsel opposite.

(vii) The Petitioner Companies vide Affidavit dated 31.08.2024 filed under Diary No. 01523/7 dated 04.09.2024, submitted audited financial statements for the financial year ending on 31.03.2024 and unaudited financial statements for the quarter ended 30.06.2024 and also submitted that the originally proposed Appointed Date i.e. 01.04.2021 has now become impracticable and is no longer feasible for the implementation of

the Scheme, as it will not be practically possible to transfer assets and liabilities of the Petitioner Companies as on 01.04.2021. In view of above, the Board of Directors of the Petitioner Companies have passed their respective resolutions approving the modification of the Appointed Date of the Scheme from 01.04.2021 to 01.04.2024 (certified true copies of the resolutions annexed as Annexure A-4 (Colly) of the above Affidavit). Vide above affidavit, it has been requested that the Appointed Date may be modified by this Tribunal, as the said modification of the Appointed Date of the Scheme will have no impact on any stakeholder or to general public at large and the same is in the interest of proper implementation of the Scheme and grave prejudice and difficulty will be caused to the Petitioner Companies, if the said date is not modified.

(viii) In the hearing held on 27.09.2024, on specific query regarding consent of Shareholders and Creditors, it was submitted by the Counsel of the Petitioner Companies that they on their affidavits have already authorized the Board of Directors of the respective companies to make change in that regard in the Scheme.

(ix) It was also stated by the Company Prosecutor representing RD that after going through the reply of the Petitioner Companies, the RD has no objection to the Scheme.

(x) In the hearing dated 25.10.2024, the documents submitted vide CA No.62/2024 were taken on record subject to just exceptions and CA No. 62/2024 was disposed of and tagged with the main petition for reference purpose. Further, the Petitioner Companies were directed to file the

consent of shareholders of the Company, to whom the shares would be issued after the Scheme.

(xi) In compliance of the above Order, the Transferee Company for and on behalf of all the Petitioner Companies filed an Affidavit dated 05.11.2024 vide Diary No. 01523/9 dated 11.11.2024, which was were taken on record vide this Tribunal Order dated 13.11.2024. It has been submitted vide above affidavit that:

(a) The Petitioner Companies Nos. 1 to 8 are wholly owned subsidiaries of DLF Home Developers Limited, which is the wholly-owned subsidiary of DLF Limited.

(b) Clause 32.2 of the Scheme provides powers to the Board of Directors of the Petitioner Companies No. 1 to 8 to take such steps for giving effect to the Scheme or to any modification thereof as below:

"32. MODFICATIONS/AMENDMENTS TO THE SCHEME
32.2 For the purpose of giving effect to the Scheme or to any modifications thereof, the Board of Directors of the Transferor Companies and the Transferee Company are hereby authorised to give such directions and/ or take such steps as may be necessary or desirable including any directions for settling any questions or doubt or difficulty whatsoever that may arise"

(c) The Board of Directors of the Petitioner Companies No. 1 to 8, while exercising their powers under Clause 32.2 of the Scheme and considering the facts and circumstances as exist, in their respective Board Meeting(s) held on 29.08.2024 have passed a resolution for change/ modification in the Appointed Date of the Scheme from 01.04.2021 to 01.04.2024 (copy annexed as Annexure A-2 (Colly.) of the above Affidavit).

(d) Pursuant to the Scheme coming into effect, the Petitioner Company No. 8/ Transferee Company is issuing equity shares to the equity shareholder of Petitioner Companies No. 1 to 7 as per the Valuation Report and Fair Share Exchange Report dated 27.05.2022. The Petitioner Companies No. 1 to 7 are wholly owned subsidiaries of DLF Home Developers Limited, the Petitioner Company No. 8/ Transferee Company is issuing equity shares to DLF Home Developers Limited. The DLF Home Developers Limited along with its nominees have provided their consent to modification/ amendment brought into the Scheme with respect to change in appointed date from 01.04.20221 to 01.04.2024, as approved by the Board of Directors of the Petitioner Companies No. 1 to 8 in the respective Board meetings of the Companies held on 29.08.2024. The copy of the list of equity shareholders of the Petitioner Companies No. 1 to 8 as on 29.10.2024 and copies of their consent are annexed as Annexure A-3 (Colly.) and Annexure A-4 (Colly.) respectively of the above Affidavit).

(xii) In view of the above submission of the Petitioner Companies and objections raised by the RD/ RoC to the Appointed Date being 01.04.2021, we consider it appropriate to change the Appointed Date as 01.04.2024.

Income Tax Department

10. The Income Tax Department (hereinafter referred to as the **"ITD"**) filed its report for the Petitioner Company Nos. 1 to 7 vide Diary No. 01523/4 dated 18.09.2023, which was taken on record vide this Tribunal Order dated 20.10.2023.

(i) The observations in the ITD reports have been shown in Table below:

Petitioner Company No.1. Amon Estates Private Limited

Comments of the Assessing Officer	This office has no objection to the above scheme of arrangement of companies subject to: Carry forwarding of accumulated losses in the case of above mentioned entity in this scheme shall be subjected to Section 72A and Section 79 of the Income Tax Act, 1961. In any proceeding under Income-tax Act, Transferee company shall participates and co-operate whenever required by authority. Transferee company will be liable to pay if any demand likely to arise in future due to any appellate order/any Income Tax Proceedings etc.

Petitioner Company No.2. Calista Real Estates Private Limited

Comments of the Assessing officer	**The office has no objection to the above scheme of arrangement of companies of merger.**

Petitioner Company No.3 Chevalier Builders & Constructions Private Limited

1. **No outstanding demand.**
2. **No proceedings as per Income Tax Act is pending.**

(However, no assessment proceedings are found pending. It is also informed that at this stage pending appeal details are not yet ascertained.)

3. **This office has no objection on proposed Amalgamation.**

Petitioner Company No.4 Erasma Builders & Developers Private Limited

iv.	Objection to scheme of amalgamation	NO

Petitioner Company No.5 Hestia Realtors Private Limited

2. In this connection, it is submitted that this office has `**No Objection'** on proposed amalgamation/merger u/s 230-232of companies Act, 2013 of Hestia Realtors **Private Limited, PAN:- AABCH8736J (Transferor Company) with** DLF Southern Towns **Private Limited, PAN-AADCP9107F(Transferee Company),** the jurisdiction of Hestia Realtors **Private Limited, PAN:-AABCH5496H** pertains to Ward-11(1),Delhi. As per ITBA, there is no outstanding demand **and no assesment proceeding pending**

against the **Hestia Realtors Private Limited, PAN:- AABCH8736J (Transferor Company).**

Petitioner Company No.6 Laraine Builders & Constructions Pvt. Ltd

15	Remarks about objection to the scheme or any representation to NCLT to protect the interest of Revenue.	The assessee has certified that :- 1. That M/s. Laraine Builders & Constructions Pvt. Ltd. was incorporated on 28.03.2006 and is assessed to tax under PAN AABCL2676D. 2. That the Company has not developed any project since its commencement till date. 3. That there is nil value of land appearing in the Annual Accounts, because, the Company had transferred the development rights of the land acquired in the earlier year and profit thereon booked in the FY 2007-08 4. That it is indemnified that the profit, if any, that may arise to this company in future will be accounted for by the Transferee Company.

Petitioner Company No.7. Snigdha Builders & Constructions Private Limited

There is no demand is pending therefore, Income Tax has no objection for amalgamation of company.

(ii) The Petitioner Companies filed CA No.194/2023 for placing on record the additional affidavit dated 05.10.2023, in which it is also stated that ITD has given 'No Objection' with respect to the approval of the present Scheme. It was also submitted that there is no requirement of calling the ITD report for the Transferee Company, as the Transferee Company is the surviving company and will remain in existence after the approval of the Scheme. Since the Transferee Company will remain in existence, the said company, as per scheme, shall bear the burden and the benefits of any demand, legal or other proceedings initiated by or against the Transferor Companies in accordance with law and, therefore, the interest of the revenue would not be affected at all.

(iii) Further, the Transferee Company undertakes on behalf of all the Transferor Companies, involved in the present Scheme, to discharge/ take care of all liabilities/ proceedings including income tax demands/ liabilities/ proceedings, if any, in accordance with law. Also carry forward of accumulated losses in the Petitioner Companies, if any, shall be subject to applicable Tax including Section 72A and Section 79 of the Income Tax Act, 1961. It is further submitted that all the Transferor Companies have not claimed any carried forward of business losses or unabsorbed depreciation in their income tax return previously and the Transferee Company further undertakes that it will not claim any benefits of such losses or unabsorbed depreciation in future post merger.

(iv) It has also mentioned that this Tribunal vide order dated 30.06.2022 in the matter of Scheme of Amalgamation between ***Adeline Builders & Developers Private Limited & 14 Ors. with DLF Home Developers***

Limited and vide Order dated 04.02.2021 in the matter of Scheme of Amalgamation between ***Mohan Apartments Private Limited & Ors. with Kamal Encon Industries Limited*** has held that since the Transferee Company is the surviving company and will remain in existence after the approval of the Scheme, the Report/ NOC for the Transferee Company is not necessary to be filed. The Transferee Company will remain in existence, and it shall deal with the pending liabilities or proceedings, if any, in accordance with law. The Transferee Company undertakes to discharge/ take care of all its liabilities/ proceedings including income tax liabilities/ proceedings, if any, in accordance with law and the carry forward of accumulated losses in the Petitioner Companies, if any, shall be subject to applicable provisions of Income Tax including Section 72A and Section 79 of the Income Tax Act, 1961. The copies of these orders are annexed as Annexure A-2 and Annexure A-3 respectively with the CA No.194/2023.

(v) In the hearing dated 09.02.2024, Ld. Counsel for the ITD submitted that in Transferor Company Nos. 1 and 7, there are losses, which would be considered as per Section 72A and 79 of the Income Tax Act.

(vi) In the hearing held on 27.09.2024, it was stated by learned Senior Standing Counsel for Income Tax Department that they have not filed the report in respect of Transferee Company and with respect to Transferor Companies; they have general observation and have no objection. Therefore, ITD was directed to file No Objection Certificate for the Transferee Company within one week with a copy in advance to the counsel opposite. However, neither report nor No Objection Certificate has been filed till the date of issue of this Order.

(vii) We note that Transferee Company filed the affidavit of Service dated 25.07.2023 stating that the notice to Assistant/ Deputy Commissioner of Income Tax, Circle 7(1), CR Building, I.P. Estate, New Delhi as well as to Nodal Officer- Principal Commissioner of Income Tax, NWR, Aaykar Bhawan, Sector 17-E, Chandigarh to was served vide letter dated 01.06.2022, which were served on 02.06.2022 and 05.06.2022 respectively as per the tracking report along with the affidavit. These copy of one such letter dated 01.06.2022 is reproduced below:

DLF SOUTHERN TOWNS PRIVATE LIMITED

Regd. Off. : 1st Floor, DLF Gateway Tower, R Block, DLF City Phase-III, Gurugram- 122002, Haryana
Email id: corporateaffairs@dlf.in; Telephone No. (+91) 0124-4396000,
CIN: U45201HR2006PTC102641

BY SPEED POST

Dated : 1st June, 2023

To,

The Nodal Officer-Principal Commissioner of Income Tax,
NWR, Aayakar Bhawan,
Sector 17-E, Chandigarh - 160017.

Subject : **Notices issued by the Hon'ble National Company Law Tribunal, Chandigarh in Company Petition CP (CAA) No. 20/Chd/Hry/2023 (2nd Motion) connected with Company Application CA (CAA) No. 31/Chd/Hry/2022 (1st Motion).**

Ref.: **In the matter of the Scheme of Amalgamation between Amon Estates Private Limited ("Petitioner Company No. 1/Transferor Company No. 1") [PAN : AAGCA3665C], Calista Real Estates Private Limited ("Petitioner Company No. 2/Transferor Company No. 2"), [PAN : AACCC8308C], Chevalier Builders & Constructions Private Limited ("Petitioner Company No. 3/Transferor Company No. 3") [PAN : AACCC8737D], Erasma Builders & Developers Private Limited ("Petitioner Company No. 4/ Transferor Company No. 4") [PAN : AABCE7873P], Hestia Realtors Private Limited ("Petitioner Company No. 5/Transferor Company No. 5") [PAN : AABCH8736J], Laraine Builders & Constructions Private Limited ("Petitioner Company No. 6/Transferor Company No. 6") [PAN : AABCL2676D] and Snigdha Builders & Constructions Private Limited ("Petitioner Company No. 7/Transferor Company No. 7") [PAN : AAJCS9518F] with DLF Southern Towns Private Limited ("Petitioner Company No. 8/Transferee Company") [PAN : AADCP9107F].**

Dear Sir,

In compliance with the directions issued by the Hon'ble National Company Law Tribunal, Chandigarh (**NCLT**) vide Order dated 19.05.2023 in the captioned matter, we are submitting herewith copies of First Motion Application, Second Motion Petition along with Annexures and Orders dated 02.03.2023 and 19.05.2023 respectively for and on behalf of the Petitioner Companies. **Please note that the next date of hearing fixed in the matter is 10.08.2023.**

Kindly note that as per the Hon'ble NCLT Order dated 19.05.2023, the objections, if any, to the `Scheme' contemplated by the authorities to whom notice has been given may be filed on or before the date of hearing fixed **(i.e. on or before 10.08.2023)**, failing which it will be considered that there is no objection to the approval of the `Scheme' on the part of the authorities and the Tribunal will proceed in the matter, subject to other conditions being satisfied as may be applicable under the Companies Act, 2013 and relevant rules framed thereunder.

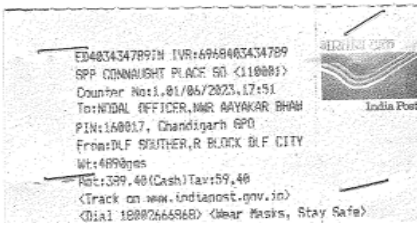
Thanking you,

For DLF Southern Towns Private Limited

(Shishir Kumar)
Director
DIN: 08700306

Encl. : As above.

TRUE COPY



(viii) Since ITD was not furnished its report in respect of Transferee Company in spite of duly served notice and even after giving further opportunities,

we consider it appropriate in the interest of justice to proceed further based on the undertaking submitted by the Transferee Company.

Real Estate Regulatory Authority

11. In response to the notice issued to Real Estate Regulatory Authority (hereinafter referred to as the "RERA"), no report was filed by the RERA.

(i) The Petitioner Company filed the affidavit of Service dated 25.07.2023 stating that the notice to RERA, Tamil Nadu was served vide letter dated 01.06.2022, and as per the tracking report the notice was delivered on 05.06.2022. The copy of the letter dated 01.06.2022 is reproduced below:

DLF SOUTHERN TOWNS PRIVATE LIMITED

Regd. Off. : 1st Floor, DLF Gateway Tower, R Block, DLF City Phase-III, Gurugram- 122002, Haryana
Email id: corporateaffairs@dlf.in; Telephone No. (+91) 0124-4396000,
CIN: U45201HR2006PTC102641

BY SPEED POST

Dated : 1st June, 2023

To,

The Tamil Nadu Real Estate Regulatory Authority (TNRERA)
No. 1A, 1st Floor, Gandhi Irwin Bridge Road,
Egmore, Chennai-600008.

Subject : **Notices issued by the Hon'ble National Company Law Tribunal, Chandigarh in Company Petition CP (CAA) No. 20/Chd/Hry/2023 (2nd Motion) connected with Company Application CA (CAA) No. 31/Chd/Hry/2022 (1st Motion).**

Ref.: **In the matter of the Scheme of Amalgamation between Amon Estates Private Limited ("Petitioner Company No. 1/Transferor Company No. 1"), Calista Real Estates Private Limited ("Petitioner Company No. 2/Transferor Company No. 2"), Chevalier Builders & Constructions Private Limited ("Petitioner Company No. 3/Transferor Company No. 3"), Erasma Builders & Developers Private Limited ("Petitioner Company No. 4/ Transferor Company No. 4"), Hestia Realtors Private Limited ("Petitioner Company No. 5/Transferor Company No. 5"), Laraine Builders & Constructions Private Limited ("Petitioner Company No. 6/Transferor Company No. 6") and Snigdha Builders & Constructions Private Limited ("Petitioner Company No. 7/Transferor Company No. 7") with DLF Southern Towns Private Limited ("Petitioner Company No. 8/Transferee Company").**

Dear Sir,

In compliance with the directions issued by the Hon'ble National Company Law Tribunal, Chandigarh (**NCLT**) vide Order dated 19.05.2023 in the captioned matter, we are submitting herewith copies of First Motion Application, Second Motion Petition along with Annexures and Orders dated 02.03.2023 and 19.05.2023 respectively for and on behalf of the Petitioner Companies. **Please note that the next date of hearing fixed in the matter is 10.08.2023.**

Kindly note that as per the Hon'ble NCLT Order dated 19.05.2023, the objections, if any, to the `Scheme' contemplated by the authorities to whom notice has been given may be filed on or before the date of hearing fixed **(i.e. on or before 10.08.2023)**, failing which it will be considered that there is no objection to the approval of the `Scheme' on the part of the authorities and the Tribunal will proceed in the matter, subject to other conditions being satisfied as may be applicable under the Companies Act, 2013 and relevant rules framed thereunder.

Thanking you,

For DLF Southern Towns Private Limited

(Shishir Kumar)
Director
DIN: 08700306

Encl. : As above.

TRUE/COPY

EM483434585IN IVR:696848434585
SPP CONNAUGHT PLACE SO (110001)
Counter No:1,01/06/2023,17:51
To:TNRERA ,GANDHI IRWIN BRI
PIN:600008, EGMORE MDO
From:DLF SOUTHER,R BLOCK DLF CITY
Wt:4990gms
Amt:519.20(Cash)Tax:79.20
<Track on www.indiapost.gov.in>
<Dial 18002666868> <Wear Masks, Stay Safe>
India Post

(ii) It is noted from the Schedule-I of the Scheme, the land, as shown in the Table below, of the Petitioner Companies No. 1 to 7 are proposed to be transferred to Petitioner Company No.8:

Petitioner Company	Area in Acres	Village / District	State
1. Amon Estates Private Limited	8.784	Kakkanad, Ernakulam, Kochi	Kerala
2. Calista Real Estates Private Limited	9.634	Kakkanad, Ernakulam, Kochi	Kerala
3. Chevalier Builders & Constructions Private Limited	22.552	Pudhupakkam, Chengalpattu	Tamil Nadu
4. Erasma Builders & Developers Private Limited	27.305	Pudhupakkam, Chengalpattu	Tamil Nadu
5. Erasma Builders & Developers Private Limited	7.453	Kakkanad, Ernakulam, Kochi	Kerala
6. Laraine Builders & Constructions Private Limited	24.615	Pudhupakkam, Chengalpattu	Tamil Nadu
7. Snigdha Builders & Constructions Private Limited	16.048	Pudhupakkam, Chengalpattu	Tamil Nadu

(iii) In the hearing held on 27.09.2024, it was stated by the Petitioner Companies that they have no other project in any other States in India except in Tamil Naidu and RERA, Tamil Naidu has been issued notice twice and no response has been given by them. Therefore, last opportunity was granted by this Tribunal to RERA, Tamil Naidu for filing the response if any, within next one week and the Petitioner Companies were directed to inform the next date of hearing to RERA, Tamil Naidu through e-mail or by registered post and file an affidavit to that effect.

(iv) In compliance of the aforesaid direction, the Affidavit dated 19.10.2024 was filed by the Petitioner Companies vide Diary No. 1523/8 dated 23.08.2024, which was taken on record vide this Tribunal Order dated 25.10.2024. It is stated in the Affidavit that the Transferee Company addressed an email and letter dated 04.10.2024 to RERA Tamil Nadu for grant of 'no objection' and informing the next date of hearing to RERA

Tamil Nadu. The said letter was duly received (delivered) by RERA Tamil Nadu on 07.10.2024. The copy of the email and the Letter dated 04.10.2024 by Transferee Company to RERA Tamil Nadu along with tracking report was also annexed as Annexure A-3 (Colly.) of the Affidavit. It was also stated in the Affidavit that despite service of letter by the Transferee Company, the RERA Tamil Nadu has still not filed its report in the captioned matter and thus, this Tribunal may consider no representation by RERA Tamil Nadu as deemed approval by the concerned Authority to the sanctioning of the present Scheme.

(v) In the hearing dated 25.10.2024, none appeared on behalf of the RERA, Tamilnadu. Further, despite issue of notices, no report has been filed by the RERA, Tamilnadu till the date of issue of this Order. Therefore, we consider it appropriate in the interest of justice to proceed further with the condition that the Petitioner Companies would comply with all the requirements/ directions of RERA, Tamil Nadu and Other RERA, if applicable.

12. In the hearing held on 27.09.2024, it was noted that in the meeting of Secured Creditors of Petitioner Company No.8, one unsecured creditor representing 17% in value had casted the vote against the resolution approving the amalgamation, however, such vote was invalidated due to non-compliance of Section 113 of the Companies Act, 2013 and the Petitioner Companies were granted one week time for filing a short note with compendium of judgments with regard to the issuance of notice under Section 230(5) of the companies Act 2013, read with Rule 16(2) of the Companies (Compromises, Arrangements and Amalgamation) Rules 2016 to the persons holding not less than 10% of the shareholding or having outstanding debt

amounting to not less than 5% of the total outstanding debt as per the latest financial statement.

13. In compliance of the above Order dated 27.09.2024, the Petitioner Companies filed an Affidavit dated 19.10.2024, vide Diary No. 1523/8 dated 23.08.2024, wherein it is stated that:

(i) The exact text of Section 230(4) reads as under:

> "Power to compromise or make arrangements with creditors and members:
>
> (4) A notice under sub-section (3) shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within one month from the date of receipt of such notice:
>
> Provided that any objection to the compromise or arrangement shall be made only by persons holding not less than ten per cent. of the shareholding or having outstanding debt amounting to not less than five per cent. of the total outstanding debt as per the latest audited financial statement."

(ii) From the simple reading of the sub-section, it is clear that any shareholder holding 10 percent voting share or any creditor holding debt of 5 percent of value, as per last audited balance sheet, may raise any objections to the scheme in addition to the exercise of voting on the scheme. However, if any creditor or shareholder, as per proviso to sub-section (4) desires to make a representation or objections to the Scheme, he or she must do it on or before7 the meeting of the shareholders or creditors as the case may be. The Chairman of the meeting shall adjudicate on such objections or representation as per law. Thus, raising such objections or representation, regarding the Scheme is important for the purposes of issuance of notice of second motion as per Rule 8 of the CAA Rules, which reads as under:

> "Rule-8. Notice to statutory authorities:

(1) For the purposes of sub-section (5) of section 230 of the Act, the notice shall be in Form No. CAA-3, and shall be accompanied with a copy of the scheme of compromise or arrangement, the explanatory statement and the disclosures mentioned under rule 6, and shall be sent to. –

(i) the Central Government, the Registrar of Companies, the Income-tax authorities, in all cases;

(ii) the Reserve Bank of India, the Securities and Exchange Board of India, the Competition Commission of India, and the stock exchanges, as may be applicable;

(iii) other sectoral regulators or authorities, as required by Tribunal.

(2) The notice to the authorities mentioned in sub-rule (1) shall be sent forthwith, **after the notice is sent to the members or creditors of the company**, by registered post or by speed post or by courier or by hand delivery at the office of the authority.

(iii) Rule 16 of CAA Rules further provides as under:

"Rule 16. Date and notice of hearing. –

(1)The Tribunal shall fix a date for the hearing of the petition, and notice of the hearing shall be advertised in the same newspaper in which the notice of the meeting was advertised, or in such other newspaper as the Tribunal may direct, not less than ten days before the date fixed for the hearing.

(2) **The notice of the hearing of the petition shall also be served by the Tribunal to the objectors or to their representatives under sub-section (4) of section 230 of the Act** and to the Central Government and other authorities **who have made representation under rule 8 and have desired to be heard in their representation.**"

(iv) It is therefore evident that any shareholder or creditor, who has made objections/ representations in terms of proviso to subsection (4) of section 230, may file any objections before the Company or the Tribunal as set out in the rules mentioned above and have desired to be heard. The Tribunal may issue notice to such creditors or shareholders and consider such objections and pass appropriate orders.

(v) Therefore, no second notice or special notice by the Tribunal is contemplated by sub-section (4) of Rule 16 (2) of the CAA Rules, which only mandates notice to only to such creditors and shareholders, who are eligible to raise objections/ representations of the meeting and who

actually have done so at the meeting and who desired to be heard by the Tribunal. If no objections/representations are made to the Company or the Chairman of the meeting, after the notice of the meeting is served upon them, the matter ends there. In view of the above established procedure by law, there is no scope for issuance of a special notice to any descending shareholder or creditor in terms of the proviso to sub-section (4) of section 230. Further, once the scheme is approved by the Tribunal, it is binding on all authorities and shareholders and creditors. In this regard, the reliance has been placed by the Petitioner Companies on the following judgements:

(a) In State Bank Of India v. Visa Infrastructure Limited (Company Appeal (AT) (Insolvency) No. 179 of 2019;

(b) In case of Arun Kumar Jagatramka v. Jindal Steel Power Ltd. & anr. (2021 SCC OnLine SC 220);

(c) In case of J.K. (Bombay) (P) Ltd vs New Kaiser-I-Hind Spg. & Wvg. Co. Ltd. & ors. (1968 SCC OnLine SC 32;

(d) In S.K. Gupta v. K.P. Jain, (1973) 3 Supreme Court Cases 54;

(e) Srimathi Premila Devi v. People's Bank of Northern India Ltd. (1938 SCC OnLine PC 56);

(e) In Re: Itw Signodge India Ltd. (2004 SCC OnLine AP 258);

(f) In the matter of Highway Cycle Industries and Sunbeam Auto Limited; (1999 SCC OnLine P&H 144);

14. The Accounting Treatment proposed in the Scheme is in conformity with the Accounting Standards as prescribed by the Act or the Central Government, for which certificates of the Statutory Auditors of the Petitioner Companies has been attached as Annexure A-35 (Colly.), the relevant part of which is reproduced below:

11. Based on our examination and according to the information and explanations given to us, read with paragraph 10 above, in our opinion, the proposed accounting as contained in the Annexure, is in compliance with Accounting Standards prescribed under section 133 of the Companies Act, 2013, relevant rules there under and other Generally Accepted Accounting Principles, read with MCA Circular.

DIRECTIONS

15. We have heard the Ld. Counsel for Petitioner Companies, Ld. OL, ITD and Company Prosecutor for Ld. RD/RoC and have perused the record submitted by the Petitioner Companies as well as the Statutory Authorities carefully.

16. Subject to the Petitioner Companies complying with the requirement of various laws including the rules and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Sections 230-232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on all the Transferor Companies and the Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with all the statutory requirements in accordance with law.

17. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Companies.

18. While approving the Scheme as above, it is clarified that this order should not be construed as approval by any other Statutory Authorities viz. RBI, SEBI, CCI, RERA Tamil Nadu & other RERA(s), if applicable or any other Sectoral Regulator(s), etc. or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment, if any, due or required in accordance with law

or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Companies against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

19. This Tribunal do further order:

(I) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2024, the Transferor Companies shall stand dissolved without undergoing the process of winding up;

(II) All the property, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Amalgamating Companies, but subject nevertheless to all charges now affecting the same;

(III) All the liabilities and duties of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230-232, be transferred to and become the liabilities and duties of the Transferee Company;

(IV) The authorized share capital of the Transferee Company, after the Scheme becoming effective, shall be in accordance with Section 232(3)(i) of the Companies Act, 2013 and the fee, if any, paid by the Transferor

Companies on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the amalgamation;

(V) The Transferee Company shall file the revised Memorandum and Articles of Association with the concerned RoC and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(VI) The Transferee Company shall, without further application, allot to the existing members of the Amalgamating Companies, shares of Transferee Company to which they are entitled under the Scheme;

(VII) All proceedings pending, if any, by or against the Transferor Companies be continued by or against the Transferee Company in terms of the Scheme;

(VIII) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Amalgamating Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(IX) All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor Companies is transferred to the Transferee Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the Petitioner Companies.

(X) Further, the Transferee Company shall be bound by its undertaking on behalf of all the Transferor Companies, involved in the present Scheme [Ref Para 10(iii) of this Order].

(XI) The Transferee Company will comply with all the pending obligations, requirements/ directions of RERA, Tamil Nadu, if any and Other RERA, if applicable.

(XII) The Transferee Company will clear all the pending statutory dues of Transferor Companies as well as the Transferee Company after exercising all Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(XIII) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

(XIV) As per the aforesaid directions and Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal order be issued to the Petitioner Companies to the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

20. The Petitioner Companies shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration in prescribed form and on such certified copy being so delivered; the Transferor Companies shall be dissolved without undergoing the process of winding up. The concerned RoC shall place all documents relating to the Transferor Companies registered with him on the file relating to the said Transferee Company, and the files relating to the Transferor Companies and Transferee Company shall be consolidated accordingly, as the case may be.

21. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

22. The Company Petition bearing number **CP(CAA) No. 20/Chd/Hry/2023 is allowed, therefore, the matter stands disposed of.**

Sd/-
(**UMESH KUMAR SHUKLA)**
Member (Technical)

Sd/-
(**HARNAM SINGH THAKUR**)
Member (Judicial)

January 17, 2025
Japneet0